

Loan Portfolio Risk Analysis

Executive Overview | 2015–2018

Year

All

Total Loans

2M



Total Loan Amount

27.34bn



Default Rate %

10.71%

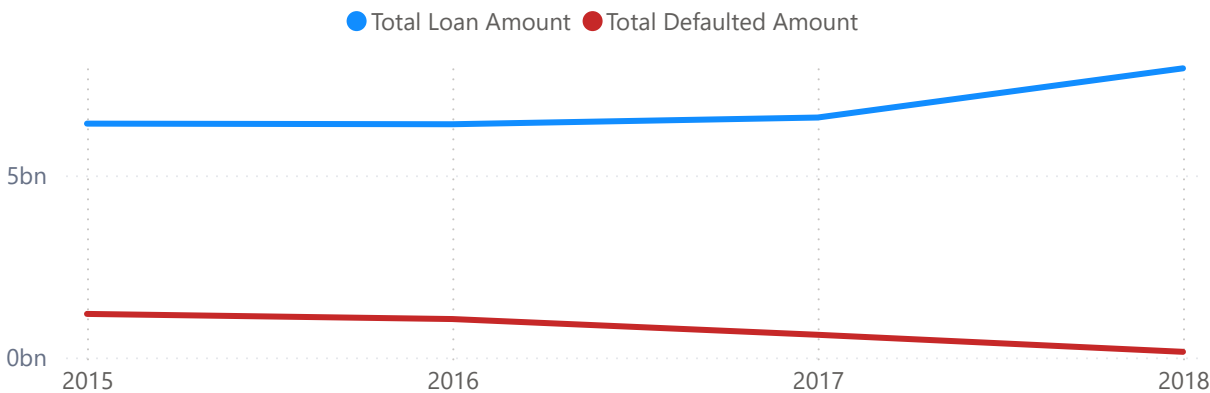


Total Defaulted Amount

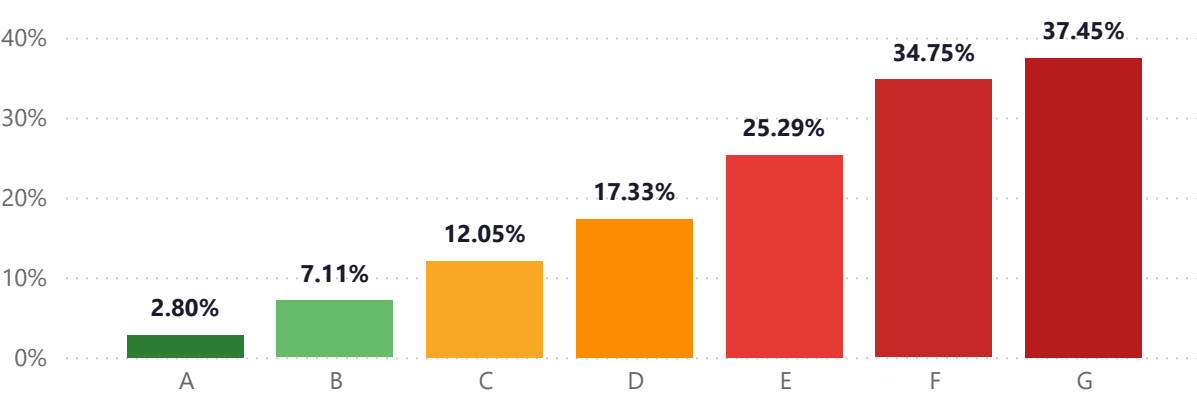
3.01bn



Loan Volume Trend (2015–2018)



Default Rate by Loan Grade



Note: Default rates decline for recent years due to loan maturity — 2018 loans have had less time to default, not lower risk.

RISK SEGMENTATION

Loan Grade

All

▼

Borrower State

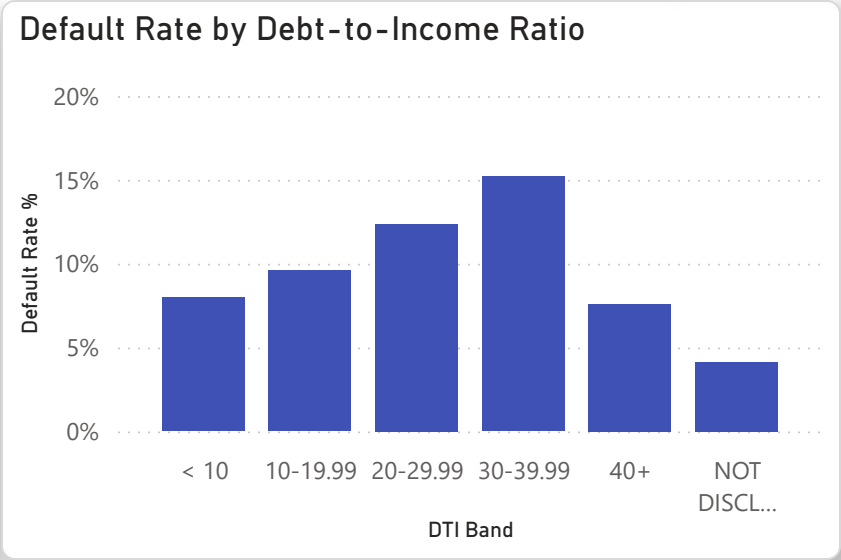
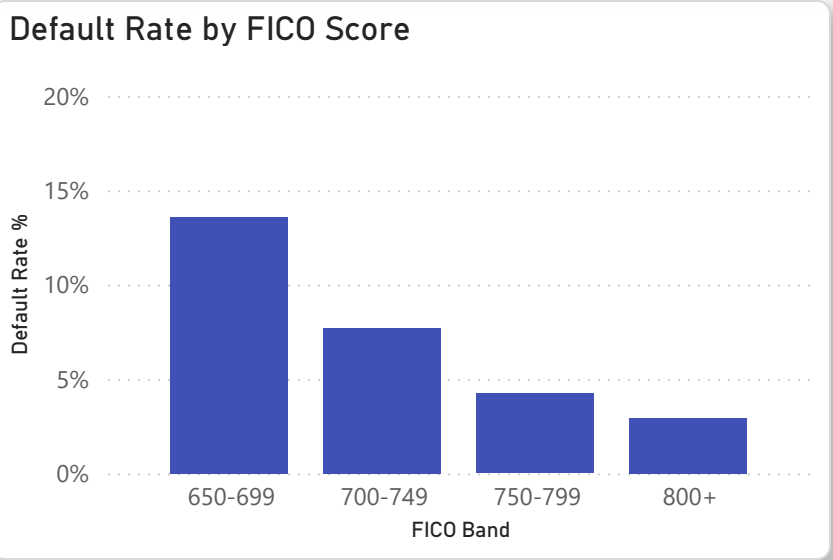
All

▼

Loan Purpose

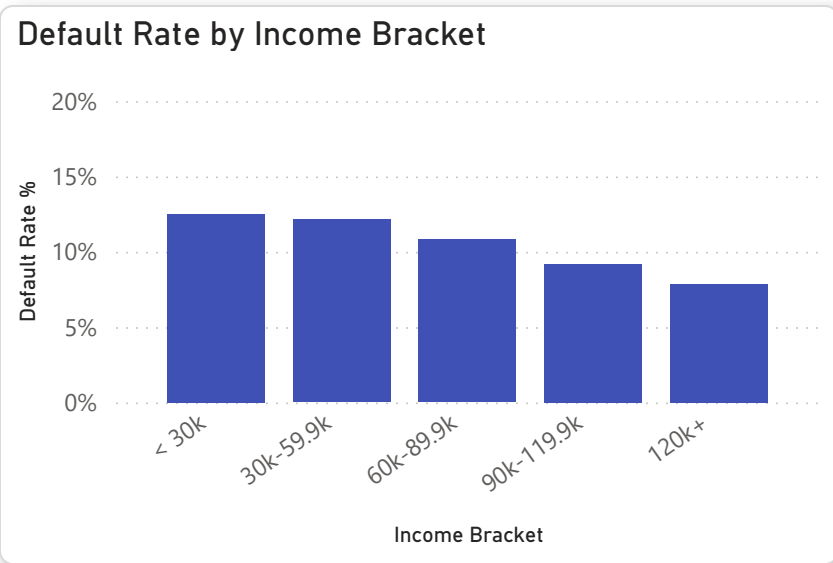
All

▼



Top 10 Riskiest States

Borrower state	Total Loans	Default Rate %
AR	13586	13.06%
AL	21427	12.99%
LA	20269	12.82%
OK	16573	12.73%
MS	11413	12.67%
NV	26136	12.20%
SD	3569	11.91%
NY	146144	11.71%
NM	9396	11.71%
NE	7805	11.51%
Total	276318	12.10%



Note: Default rate unexpectedly drops at 40%+ DTI. Checked FICO as a possible explanation — average scores were nearly identical across DTI bands (703 vs 697), so credit score doesn't explain it. Cause unclear from available data; flagged for further investigation.

Key Risk Insight

Arkansas, Alabama, Louisiana, Oklahoma, and Mississippi show the five highest state-level default rates (12.67%–13.06%), consistent with regional income patterns across the Southern U.S.

While high-volume states like New York and Florida show more moderate default rates (~11.4%–11.7%), their sheer loan volume means they represent greater absolute dollar risk exposure than smaller high-rate states.

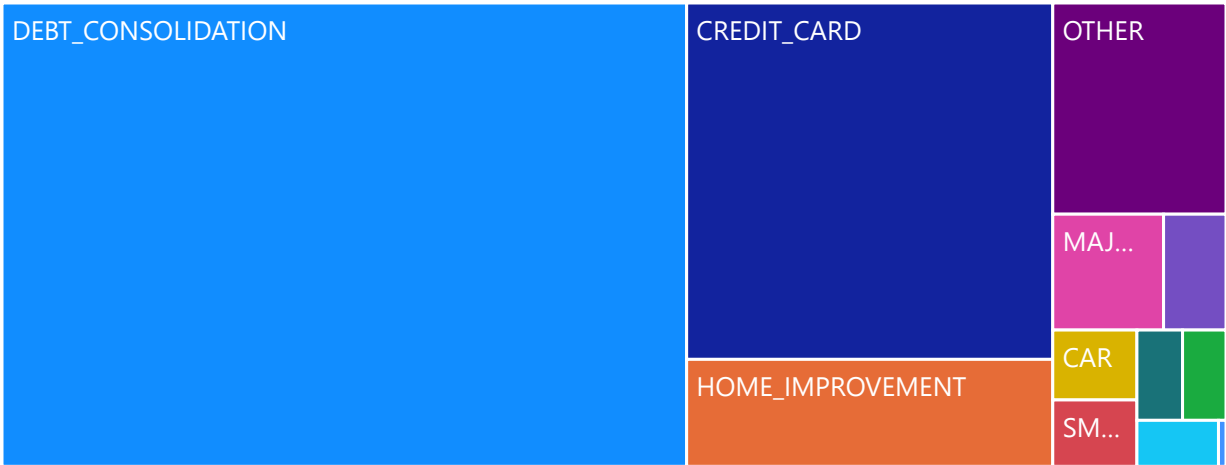
Portfolio Composition

Loan Purpose

All

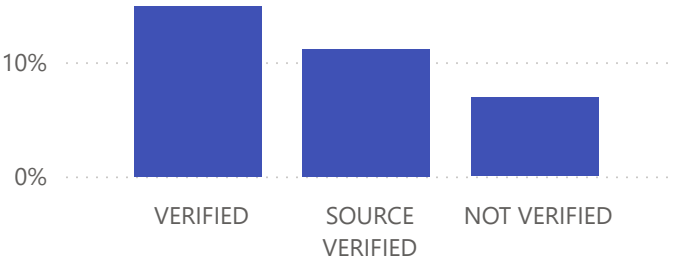


Total Loans by loan_purpose

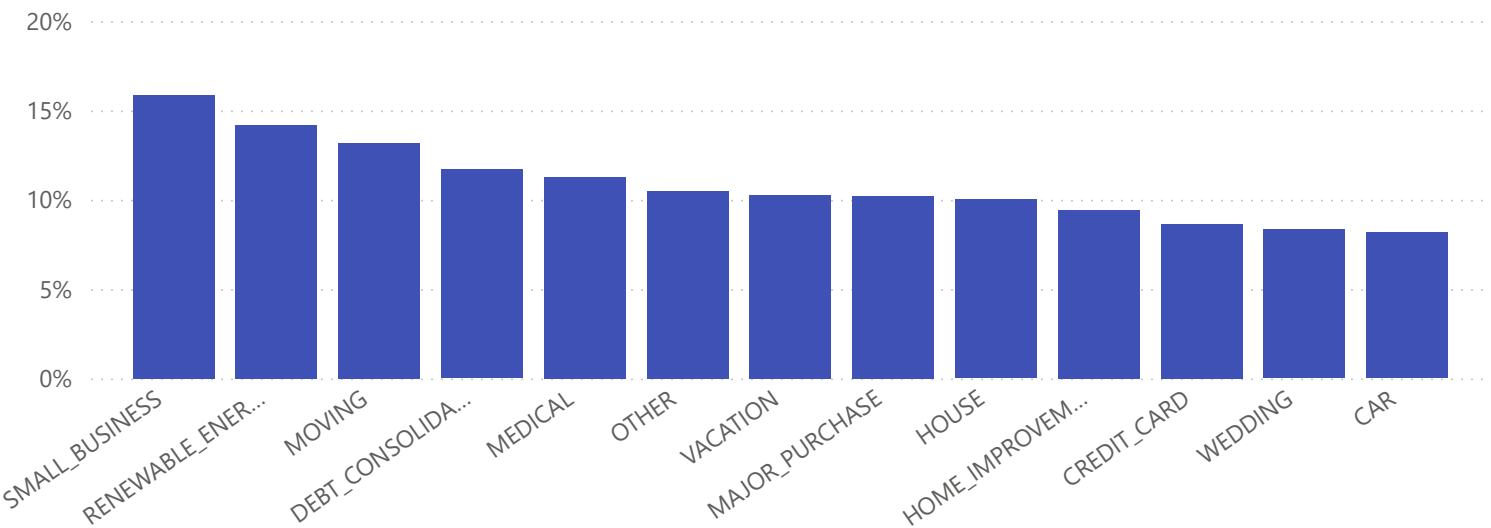


Note: Verified loans show higher default rates than unverified — likely because verification is triggered by pre-existing risk flags in the application, not because verification itself increases risk.

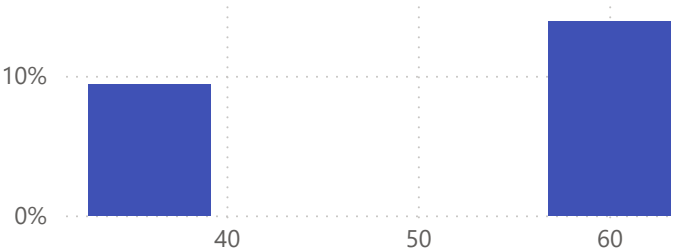
Default Rate % by income_verification_status



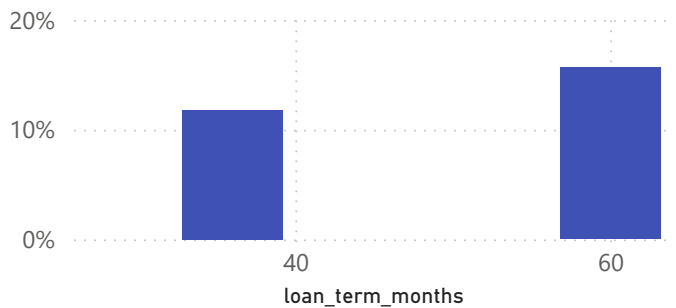
Default Rate % by loan_purpose



Default Rate % by loan_term_months



Avg Interest Rate by loan_term_months

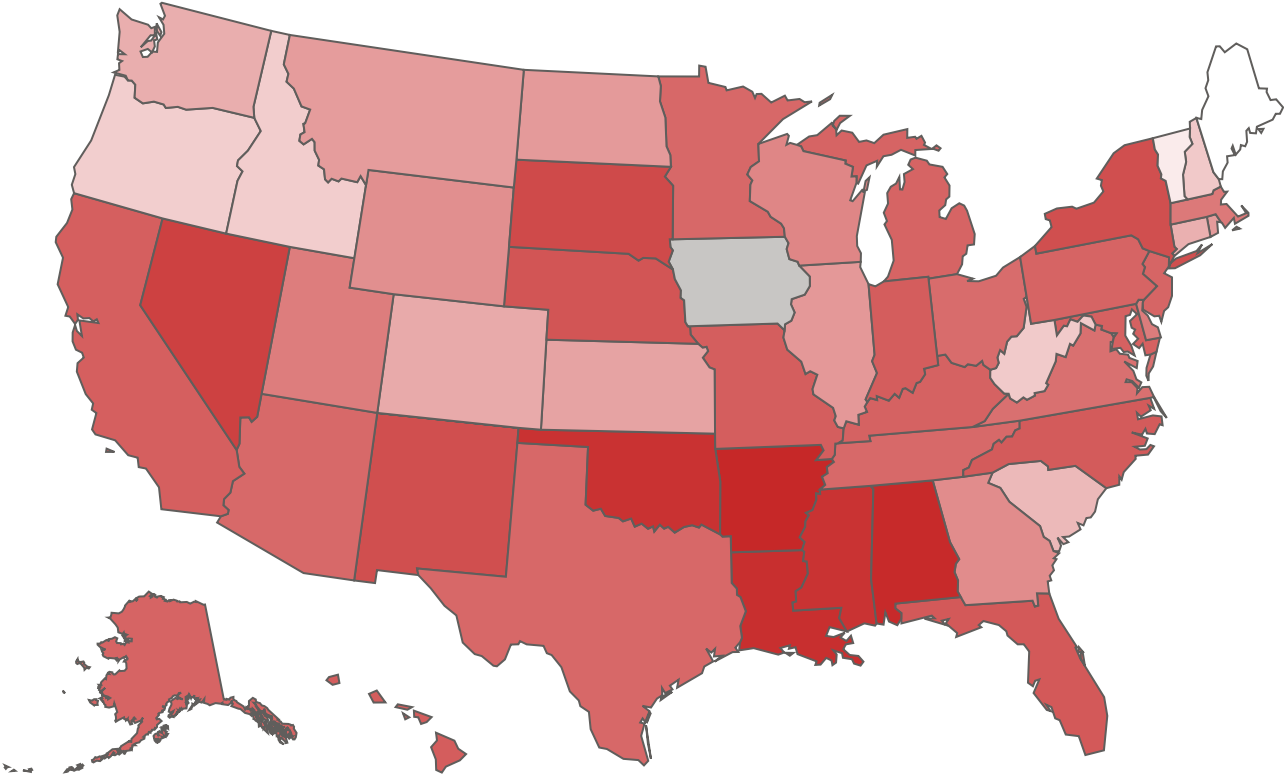


Geographic Risk

Borrower State

All

Default Rate by State



State-wise Risk Summary

Borrower state	Total Loans	Default Rate %
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AL	21427	12.99%
LA	20269	12.82%
OK	16573	12.73%
MS	11413	12.67%
NV	26136	12.20%
SD	3569	11.91%
NY	146144	11.71%
NM	9396	11.71%
NE	7805	11.51%
FL	130348	11.39%
NC	50044	11.32%
HI	8181	11.25%
IN	30988	11.24%
Total	1794323	10.71%

Note: The five highest-risk states (AR, AL, LA, OK, MS) are geographically concentrated in the South, consistent with regional income patterns.